Carillion plc | Financial Distress Analysis

Independent case study • 2014–2016 published accounts • October 2026

Overview

Carillion was a UK construction and services company that entered liquidation in January 2018. For this project, I wanted to see whether its published accounts showed warning signs before the collapse. As a Computer Science student with limited finance experience, I approached this as a data analysis exercise: collect consistent figures, calculate a small set of ratios in Excel, and look for patterns rather than relying on a single number.

Approach

I reviewed Carillion's 2014, 2015 and 2016 annual accounts and recorded revenue, profit, operating cash flow, assets, liabilities and borrowing. I calculated liquidity, profitability and debt ratios, then applied the four-factor Altman Z″ model for non-manufacturing businesses. I used the company's reported year-end and average net borrowing figures to compare its position on 31 December with its borrowing throughout each year.

Selected results

Measure	2014	2015	2016
Revenue (£m)	3,493.9	3,950.7	4,394.9
Profit from operations (£m)	200.1	209.4	181.9
Operating cash flow (£m)	123.8	73.3	73.3
Current ratio	1.027	1.023	1.024
Average net borrowing (£m)	450.7	538.9	586.5
Interest cover (simplified)	3.78×	3.04×	2.41×
Altman Z″ score	0.97	1.15	0.63

Figures are in £ millions unless otherwise stated. Ratios and Z″ scores are calculated from the figures recorded in the accompanying Excel workbook.

What stood out to me

1. More revenue did not mean more profit. Revenue increased by about 26% between 2014 and 2016, but profit from operations fell by about 9%. The business was doing more work without seeing the same improvement in its reported profitability.

2. Profit and cash told different stories. Net operating cash flow fell from £123.8m in 2014 to £73.3m in 2016. A company can report profit before it receives payment from customers, which matters when

it still needs cash to pay suppliers and employees. The cash-flow-to-profit comparison is only a simple indicator, not proof that profits were misstated.

3. Debt looked different depending on when it was measured. In 2016, year-end net borrowing was £218.9m, while average net borrowing was £586.5m. That gap caught my attention because a single year-end balance did not show the company's typical borrowing level.

Distress score and interpretation

The Altman Z″ score was approximately 0.97 in 2014, 1.15 in 2015 and 0.63 in 2016. Under commonly used thresholds for the unadjusted four-factor model, the 2014 and 2016 values fall in the distress zone, while 2015 is just above it. The sharp fall in 2016 supports the wider picture of weaker financial health. It does not mean the model could predict the date of collapse.

What I learned and limitations

My main takeaway is that no single metric gives the full picture. Revenue growth looked positive on its own, but weaker cash generation, lower interest cover and higher average borrowing made the overall picture more concerning. I also learned why definitions matter: the accounts distinguish group operating profit from profit including joint-venture results, and the simple interest-cover calculation uses financial expense rather than borrowing interest alone. The Z″ model is a screening tool, not a definitive bankruptcy test; this analysis is also limited to three annual reporting periods and uses hindsight.

Conclusion

Based on the 2014–2016 accounts, I think a reader could have identified several warning signs before Carillion's 2018 collapse, even without knowing exactly what would happen. This project helped me practise translating financial statements into a structured dataset, checking calculations, and explaining what the numbers do and do not show.

Sources

Carillion plc, Annual Reports and Accounts 2014, 2015 and 2016 (consolidated financial statements and financial reviews). Accompanying file: Carillion_Distress_Analysis.xlsx. Altman Z″ model: four-factor non-manufacturing variant, using the unadjusted formula.